results. We are confident that with the focus on both the demand and supply side, the economy will continue to grow at an even faster pace."

Cleaning Regulatory Cholesterol

Nripendra Misra, former principal secretary to the PM, believes Modi is aware that his third term is all about crafting a legacy and that "history will judge a prime minister on not just what he builds but also by what he dismantles". In 2025, removing the regulatory cholesterol that had either choked or considerably slowed down economic growth became a major aspect of the prime minister's reform agenda, for which he set up a raft of high-powered committees. They were told that the prime minister didn't want voluminous reports but a focus on process change and rapid implementation. Modi's goal, insiders reveal, was simple: get the government out of people's hair.

Among these committees was one on non-financial regulatory reforms, set up in August. Headed by former cabinet secretary Rajiv Gauba and having industry representatives included as members, much of its focus was to ensure ease-of-doing-business for Micro, Small and Medium Enterprises (MSMEs), which complained about having to observe 1,400 compliances annually and monitor around 40 regulatory ones daily. Since then, the committee has worked round-the-clock on the nitty-gritty of regulation, especially the ground-level friction for obtaining licences, renewals, inspections and municipal hassles that are the real pain points in the operational interface with the state.

That meant enabling businesses to move away from licensing to registration and from inspector-driven checks to what they called risk-based, IT-enabled enforcement. As Gauba explains, "We tend to confuse regulation with enforcement. What we need is not more regulation but more enforcement, where any government oversight should be randomised and risk-based." Much like the way software-determined random checks have become the norm in the new income tax regime.

The other issue before the committee was the frequent certification small businesses were required to get. These became an invitation for a new kind of Inspector Raj, where renewals were discretionary and thus prone to corruption. To circumvent this, the committee has come up with the idea to make licences of much longer validity, including a 'once-given-is-given' approach, and focusing on registration rather than licensing for smaller businesses like food



Trump: The Shaker

TARIFF TERROR

- The US under President Donald Trump first imposes a 25 per cent tariff on 55 Indian export categories, citing high trade deficit in India's favour and trade barriers
- Then it imposes a further 25 per cent tariff on Indian goods—a penalty for India's purchase of cheap Russian crude oil

VISA & IMMIGRATION BARRIERS

- Most H1B visas, a primary route for skilled professionals to live and work in the US, are granted to Indians
- The US imposes a hefty $100,000 fee for each new H1B application. Reason: the claim that they "take away American jobs"
- With around 400,000 illegal Indian immigrants in the US, it has deported over 3,000 since January 2025, with handcuffed and chained deportees sent back on chartered aircraft

DIPLOMATIC DISSONANCE

- India pointedly denies Trump's declaration on May 10 that he brokered the ceasefire between India and Pakistan. Over the following months, Trump repeats his claim around 60 times
- Trump meets with Pakistan's Field Marshal Asim Munir in the White House twice post Op. Sindoor. This sudden 'reset' in ties with Pakistan results in a period of downturn in ties with India
- Despite China buying more Russian oil, India is singled out for the extra 25 per cent tariff. Trump also targets India by saying its economy is a 'dead' one